

true; as a country we hold a lot of gold, and most of it is with the households. But, I think it is unfair to blame us for our gold fixation. The fault sits firmly with the government and regulators that have not cleaned up the game in the retail financial products market.

We don't trust the products or the people selling them. We find that our money in the bank is eroded by inflation. Inflation is most often a result of bad government policy. To mitigate the risk of fraud and inflation, we have traditionally bought gold. The government calling us stupid is double the insult.

Other than a vote of no confidence in the financial sector, is there a need to hold gold? What is the role of gold, why should it occupy a place in our money box at all? Ideally gold is good as a hedge against inflation. This means that the price of gold rises over the years, so that your money does not lose purchasing power. Gold does not give an interest like your bank deposit. It does not throw off dividend like a stock. Nor does it give rent, like your property. The only way you can profit from gold is when its value goes up – when you actually make a profit. So, how good is gold for getting capital gains or profits?

The answer is it depends when you bought it and how long you held it. If you bought gold three years ago, you'd have got a 2 or 3 per-cent return. If you bought five year ago, you may have just got your investment back – that is, zero return. If you bought ten years ago, your return is around 9 per cent per year.

Remember these are bullion prices. If you bought jewellery thinking you are making an investment, the numbers in the table above are all much lower. You lose 30 per cent straightaway to making charges when you buy gold as jewellery. No, I'm not saying no to jewellery. I enjoy my own gold trinkets, but I'm sure that these are not part of my investments at all. I buy jewellery because I enjoy wearing or gifting it. For my investments, I stay with mutual funds.

But the funds discussion needs to wait. We need to understand that every investment we make has costs – some we can see, others we cannot or prefer not to – like the making charges for gold jewellery. When you go to sell your gold jewellery, you lose another 10 to 30 per cent depending on the purity of gold and making charges. Few people actually sell gold jewellery to bring home the profit; it is usually gifted one generation to the next. So buying gold